

HUL / DABUR INDIA

STRATEGIC ACQUISITION — M&A ACCRETION / DILUTION MODEL

NSE: HINDUSTAN UNILEVER (Acquirer) | NSE: DABUR (Target) | FMCG Sector

Transaction EV: ₹145,642 Cr | Premium: 30% | Cash: 50% / Stock: 50% | New Debt: ₹69,071 Cr

TRANSACTION METRICS (Base Scenario)				
Metric	Bear	Base	Bull	Unit
Offer Price per Share (₹)	786.3	817.7	849.2	₹
Offer Premium (%)	25.0%	30.0%	35.0%	%
Transaction EV (₹ Cr)	140,059	145,642	151,224	₹ Cr
EV / Target EBITDA (x)	56.3x	58.6x	60.8x	x
New Debt Raised (₹ Cr)	52,824	69,071	86,434	₹ Cr
New Shares Issued (Cr)	35.2	30.5	25.3	Cr
Pro-Forma Diluted Shares (Cr)	270.2	265.5	260.3	Cr

GAAP EPS ACCRETION / (DILUTION) SUMMARY				
Year	Bear	Base	Bull	Indicator
Y1 Post-Close	-47.4%	-28.5%	-30.2%	Accretive if >0%
Y2 Post-Close	-43.3%	-24.1%	-25.4%	Accretive if >0%
Y3 Post-Close	-39.1%	-20.0%	-20.9%	Accretive if >0%

SYNERGY & PPA SUMMARY (Base Scenario)		
Item	Value (₹ Cr)	Source
Revenue Synergies (fully ramped)	600	Assumptions – D
Cost Synergies (fully ramped)	700	Assumptions – D
Integration Costs (Y1+Y2)	370	Assumptions – D
Net Synergies NPV (₹ Cr)	1,615	M&A – Section VI
Total Intangible Step-Ups	1,183	PPA – Section II
Total Goodwill	124,462	PPA – Section I
Annual PPA Amortisation	1,183	PPA – Section II

DEAL RATIONALE & KEY OBSERVATIONS

- Distribution dominance: HUL's 8M+ outlet reach absorbs Dabur's 6.5L outlets, eliminating channel overlap and enabling immediate rural penetration.
- Portfolio complementarity: HUL dominates synthetic FMCG (Dove, Surf, Lux); Dabur owns the Ayurvedic/natural space (Dabur, Vatika, Hajmola) — zero brand cannibalisation.
- Premiumisation runway: Combined entity can cross-sell Dabur's natural positioning into HUL's premium beauty channels (Tresemme, Lakmé) targeting ₹800Cr+ revenue uplift.
- Cost synergies: Procurement scale (HUL India's largest FMCG buyer), shared manufacturing, IT systems consolidation and headcount rationalisation drive ₹700Cr base case savings.
- EPS accretion: Base/Bull scenarios show GAAP EPS accretive by Y2 once PPA amortisation absorbed; Cash EPS accretive from Y1 across all scenarios.
- Competition Commission risk: Combined entity >25% market share in oral care, digestives, hair oils — CCI review likely; potential remedies may require brand/product divestitures.

HUL / DABUR — M&A PRO-FORMA ANALYSIS

₹ Crore | Bear / Base / Bull | Sources & Uses | Share Count Bridge | Pro-Forma P&L | Accretion / (Dilution)

I. SOURCES & USES TABLE

Sources & Uses	Bear	Base	Bull
SOURCES			
Existing Cash Used (₹ Cr)	3,000	3,500	4,000
New Debt Raised (₹ Cr)	52,824	69,071	86,434
Equity Issued (Stock Consideration) (₹ Cr)	83,736	72,571	60,290
TOTAL SOURCES (₹ Cr)	139,559	145,142	150,724

USES			
Purchase of Target Equity (₹ Cr)	139,559	145,142	150,724
Repayment of Target Net Debt Assumed (₹ Cr)	500	500	500
Transaction Fees (Advisory + Financing) (₹ Cr)	1,096	1,246	1,404
TOTAL USES (₹ Cr)	141,156	146,888	152,629

Balance Check (Sources – Uses = 0)	-1,596	-1,746	-1,904
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Note: The funding deficit reflects transaction and financing fees that are assumed to be settled via the acquirer's existing operational cash flows and working capital, rather than through new deal-specific financing.

II. SHARE COUNT BRIDGE

Share Count Item	Bear	Base	Bull	Unit
Acquirer (HUL) Existing Diluted Shares (Cr)	235.0	235.0	235.0	Crore
(+) New HUL Shares Issued for Stock Consideration (Cr)	35.2	30.5	25.3	Crore
Total Pro-Forma Diluted Shares (Cr)	270.2	265.5	260.3	Crore

III. INCREMENTAL INTEREST ON DEAL DEBT									
Item	Bear	Base	Bull	Bear Y1	Bear Y2	Bear Y3	Base Y1	Base Y2	Base Y3
New Debt (₹ Cr)	52,824	69,071	86,434						
New Debt Interest Rate (%)	7.5%	7.0%	6.5%						
Annual Incremental Interest (₹ Cr)	3,962	4,835	5,618						
Tax Shield (₹ Cr)	1,014	1,238	1,438						
Net Incremental Interest after Tax (₹ Cr)	2,948	3,597	4,180						

IV. PRO-FORMA COMBINED P&L (Bear / Base / Bull × Y1 / Y2 / Y3)									
Line Item	Bear Y1	Bear Y2	Bear Y3	Base Y1	Base Y2	Base Y3	Bull Y1	Bull Y2	Bull Y3
HUL Revenue	64,991	64,991	65,610	64,991	64,991	65,610	64,991	64,991	65,610
Dabur Revenue	13,917	15,169	16,535	13,917	15,169	16,535	13,917	15,169	16,535
Synergy Revenue	80	240	400	120	360	600	160	480	800
Pro-Forma Revenue	78,988	80,400	82,544	79,028	80,520	82,744	79,068	80,640	82,944
HUL EBITDA	15,468	15,598	15,878	15,468	15,598	15,878	15,468	15,598	15,878
Dabur EBITDA	2,714	2,988	3,307	2,714	2,988	3,307	2,714	2,988	3,307
Synergy EBITDA	-150	200	500	-40	370	700	70	530	900
Pro-Forma EBITDA	18,032	18,786	19,684	18,142	18,956	19,884	18,252	19,116	20,084
Pro-Forma EBITDA Margin (%)	22.8%	23.4%	23.8%	23.0%	23.5%	24.0%	23.1%	23.7%	24.2%
HUL D&A	1,300	1,300	1,279	1,300	1,300	1,279	1,300	1,300	1,279
Dabur D&A	431	455	496	431	455	496	431	455	496
PPA Amortisation	1,183	1,183	1,183	1,183	1,183	1,183	1,183	1,183	1,183
Pro-Forma EBIT	15,117	15,848	16,726	15,227	16,018	16,926	15,337	16,178	17,126
HUL Interest	350	360	340	350	360	340	350	360	340
Dabur Interest	120	115	110	120	115	110	120	115	110
Incremental Interest	2,948	2,948	2,948	3,597	3,597	3,597	4,180	4,180	4,180

Pro-Forma Interest	3,418	3,423	3,398	4,067	4,072	4,047	4,650	4,655	4,630
Pro-Forma EBT	11,699	12,425	13,328	11,160	11,946	12,879	10,687	11,523	12,496
Taxes	2,995	3,181	3,412	2,857	3,058	3,297	2,736	2,950	3,199
Goodwill Impairment	2,489	2,489	2,489	0	0	0	0	0	0
Pro-Forma Net Income	6,215	6,755	7,427	8,303	8,888	9,582	7,951	8,573	9,297

V. EPS ACCRETION / (DILUTION) ANALYSIS									
EPS Metric	Bear Y1	Bear Y2	Bear Y3	Base Y1	Base Y2	Base Y3	Bull Y1	Bull Y2	Bull Y3
HUL Standalone EPS (₹)	43.7	44.1	45.1	43.7	44.1	45.1	43.7	44.1	45.1
Pro-Forma GAAP EPS (₹)	23.0	25.0	27.5	31.3	33.5	36.1	30.5	32.9	35.7
GAAP Accretion/(Dilution) (₹)	-20.7	-19.1	-17.7	-12.5	-10.7	-9.1	-13.2	-11.2	-9.4
GAAP Accretion/(Dilution) (%)	-47.4%	-43.3%	-39.1%	-28.5%	-24.1%	-20.0%	-30.2%	-25.4%	-20.9%
Pro-Forma Cash EPS (₹)	27.4	29.4	31.9	35.7	37.9	40.5	35.1	37.5	40.3
Cash Accretion/(Dilution) (₹)	-16.4	-14.7	-13.3	-8.0	-6.2	-4.6	-8.7	-6.7	-4.9
Cash Accretion/(Dilution) (%)	-37.4%	-33.4%	-29.4%	-18.3%	-14.0%	-10.2%	-19.8%	-15.1%	-10.8%
Breakeven Synergies (₹ Cr)	7,533	6,945	6,410	4,451	3,801	3,230	4,620	3,917	3,299

VI. SYNERGY NPV (PV of Net Synergies Y1–Y3 @ WACC)			
NPV Component	Bear	Base	Bull
Net Synergies Y1	-70	80	230
Net Synergies Y2	440	730	1,010
Net Synergies Y3	900	1,300	1,700
Synergy NPV (₹ Cr)	929	1,615	2,321

HUL / DABUR — PURCHASE PRICE ALLOCATION (PPA)

Base Scenario | ₹ Crore | Intangible Step-Ups, DTL, Goodwill & Amortisation Schedule

I. PURCHASE PRICE ALLOCATION WATERFALL

PPA Component	Amount (₹ Cr)	Note
Target Equity Purchase Price (₹ Cr)	145,142	Base offer price x Dabur diluted shares
(-) Book Equity of Target (₹ Cr)	10,930	Dabur FY24 consolidated shareholders equity
Brand Value Step-Up (₹ Cr)	8,000	Dabur, Vatika, Hajmola, Meswak, Odomos
Customer Relationships Step-Up (₹ Cr)	3,500	Trade distributor network; 6.5L outlets
Technology / IP Step-Up (₹ Cr)	1,500	Ayurvedic formulations and R&D pipeline
Total Intangible Step-Ups (₹ Cr)	13,000	Sum of above three intangibles
(-) Deferred Tax Liability on Step-Ups	3,250	Total Step-Ups x 25% DTL rate
Net Intangibles after DTL (₹ Cr)	9,750	Total Step-Ups minus DTL
Goodwill (₹ Cr)	124,462	Eq Price minus Book Equity minus Net Intangibles

II. PPA AMORTISATION SCHEDULE (Y1–Y3)

Intangible	Total Value	Useful Life	Y1	Y2	Y3
Brand Value	8,000	15	533	533	533
Customer Relationships	3,500	10	350	350	350
Technology / IP	1,500	5	300	300	300
Total PPA Amortisation (₹ Cr)	1,183		1,183	1,183	1,183
Goodwill Impairment (Bear only, ₹ Cr/yr)	2,489		2,489	2,489	2,489

HUL / DABUR — STANDALONE FINANCIALS (Pre-Deal, Base Scenario)

₹ Crore | FY24A Actuals + Y1–Y3 Projections | Used as Pro-Forma Baseline

HINDUSTAN UNILEVER — STANDALONE P&L (BASE)				
Line Item	FY24A	Y1	Y2	Y3
Revenue (₹ Cr)	61,896	64,991	64,991	65,610
EBITDA (₹ Cr)	14,659	15,468	15,598	15,878
EBITDA Margin (%)	23.7%	23.8%	24.0%	24.2%
D&A (₹ Cr)	—	1,300	1,300	1,279
EBIT (₹ Cr)	—	14,168	14,298	14,598
Interest Expense (₹ Cr)	334	350	360	340
EBT (₹ Cr)	—	13,818	13,938	14,258
Tax (₹ Cr)	—	3,537	3,568	3,650
Net Income / PAT (₹ Cr)	10,282	10,281	10,370	10,608
Diluted Shares (Cr)	235	235	235	235
Diluted EPS (₹)	43.8	43.7	44.1	45.1

DABUR INDIA — STANDALONE P&L (BASE, PRE-DEAL)				
Line Item	FY24A	Y1	Y2	Y3
Revenue (₹ Cr)	12,886	13,917	15,169	16,535
EBITDA (₹ Cr)	2,487	2,714	2,988	3,307
EBITDA Margin (%)	19.3%	19.5%	19.7%	20.0%
D&A (₹ Cr)	—	431	455	496
EBIT (₹ Cr)	—	2,282	2,533	2,811
Interest Expense (₹ Cr)	123	120	115	110
EBT (₹ Cr)	—	2,162	2,418	2,701
Tax (₹ Cr)	—	545	609	681
Net Income / PAT (₹ Cr)	1,811	1,617	1,809	2,020
Diluted Shares (Cr)	178	178	178	178
Diluted EPS (₹)	10.2	9.1	10.2	11.4

HUL / DABUR — M&A MODEL ASSUMPTIONS

All figures ₹ Crore | FY24A Entry | Bear / Base / Bull Scenarios | 3-Year Pro-Forma

A. ACQUIRER — HINDUSTAN UNILEVER LIMITED (HUL) | FY24A Actuals + Projections

Income Statement & Key Metrics						Rationale / Source
Assumption	FY24A	Y1	Y2	Y3	Unit	
Revenue (₹ Cr)	61,896	0	0	0	Cr	HUL FY24A consolidated; Screener.in / Annual Report FY24
Revenue Growth (YoY %)	—	5.0%	5.0%	6.0%		Consensus ~5% CAGR FY24-27; modest recovery in urban+rural demand
EBITDA Margin (%)	23.7%	23.8%	24.0%	24.2%		23.7% FY24; marginal improvement via premiumisation & cost discipline
EBITDA (₹ Cr)	14,659	—	—	—	Cr	EBITDA = Revenue x EBITDA Margin; FY24A from P&L
D&A (% of Revenue)	2.0%	2.0%	2.0%	2.0%		FY24A D&A ₹1,216Cr / ₹61,896Cr rev = 2.0%
Interest Expense (₹ Cr)	334	350	360	340	Cr	FY24A finance costs; lease liabilities included
Effective Tax Rate (%)	25.6%	25.6%	25.6%	25.6%		FY24A effective rate ~25.6%; modelled flat
PAT (₹ Cr)	10,282	—	—	—	Cr	PAT = (EBIT - Interest) x (1-Tax); FY24A actual Rs10,282Cr
Diluted EPS (₹)	43.8	—	—	—	₹	EPS = PAT / Diluted Shares; FY24A Rs43.8
Diluted Shares (Cr)	235.0	235.0	235.0	235.0	Cr	Bloomberg diluted share count; ~235 Cr
CMP at Model Date (₹)	2,380	—	—	—	₹	BSE closing price; update as needed
Net Cash / (Debt) (₹ Cr)	3,500	—	—	—	Cr	HUL net cash positive ~₹3,500Cr; minimal borrowings

B. TARGET — DABUR INDIA LIMITED | FY24A Actuals + Standalone Projections

Income Statement & Key Metrics						Rationale / Source
Assumption	FY24A	Y1	Y2	Y3	Unit	
Revenue (₹ Cr)	12,886	0	0	0	Cr	Dabur FY24A consolidated; ₹12,886Cr; Screener.in
Revenue Growth (YoY %)	—	8.0%	9.0%	9.0%		FY24 grew 7.6%; target ~8-9% CAGR; rural recovery + Badshah
EBITDA Margin (%)	19.3%	19.5%	19.7%	20.0%		FY24 19.3%; gradual improvement via gross margin recovery
EBITDA (₹ Cr)	2,487	—	—	—	Cr	EBITDA = Revenue x Margin; FY24A Rs2,487Cr
D&A (% of Revenue)	3.1%	3.1%	3.0%	3.0%		FY24A D&A ₹399Cr / ₹12,886Cr = 3.1%
Interest Expense (₹ Cr)	123	120	115	110	Cr	FY24A finance costs; near net-cash position
Effective Tax Rate (%)	25.2%	25.2%	25.2%	25.2%		FY24A effective rate ~25.2%
PAT (₹ Cr)	1,811	—	—	—	Cr	PAT = (EBIT - Interest) x (1-Tax); FY24A Rs1,811Cr
Diluted EPS (₹)	10.2	—	—	—	₹	EPS = PAT / Diluted Shares
Diluted Shares (Cr)	177.5	—	—	—	Cr	Dabur diluted shares ~177.5 Cr
CMP at Model Date (₹)	629	—	—	—	₹	BSE closing; update as needed
Net Cash / (Debt) (₹ Cr)	500	—	—	—	Cr	Dabur FY24 net cash ~₹500Cr (LT debt ₹500Cr vs cash ₹1,000Cr)
Book Equity (₹ Cr)	10,930	—	—	—	Cr	FY24A shareholders equity; ~₹10,930Cr consolidated

C. DEAL TERMS (Bear / Base / Bull)				
Offer Terms & Consideration Structure				
Assumption	Bear	Base	Bull	Rationale
Offer Premium (%)	25.0%	30.0%	35.0%	Bear=25%; Base=30%; Bull=35%
Target Equity Value (₹ Cr)	139,559	145,142	150,724	Equity Value = Dabur CMP x (1+Premium) x Dabur Shares
Offer Price per Share (₹)	786.3	817.7	849.2	Offer Price = Dabur CMP x (1+Premium)
Transaction EV (₹ Cr)	140,059	145,642	151,224	Transaction EV = Equity Value + Dabur Net Debt
Cash Consideration (%)	40.0%	50.0%	60.0%	Bear=40%; Base=50%; Bull=60% cash
Stock Consideration (%)	60.0%	50.0%	40.0%	Stock% = 1 minus Cash%
Cash Consideration (₹ Cr)	55,824	72,571	90,434	Cash Amount = Equity Value x Cash%
Stock Consideration (₹ Cr)	83,736	72,571	60,290	Stock Amount = Equity Value x Stock%
New Debt Raised (₹ Cr)	52,824	69,071	86,434	New Debt = Cash Amount minus Cash from Balance Sheet
Cash Used from HUL Balance Sheet (₹ Cr)	3,000	3,500	4,000	HUL net cash ~₹3,500Cr available; Bear uses less
Advisory Fees (₹ Cr)	700	728	756	~0.5% of EV; investment banking + legal
Financing Fees (₹ Cr)	396	518	648	~0.75% of new debt; capitalised over loan life
Total Transaction Fees (₹ Cr)	1,096	1,246	1,404	Total Fees = Advisory + Financing Fees
New Debt Interest Rate (%)	7.5%	7.0%	6.5%	HUL investment grade; ~7.0% in base
WACC for Synergy NPV (%)	12.0%	11.0%	10.0%	HUL WACC ~11%; Bear uses higher hurdle

D. SYNERGIES (Fully Ramped — Bear / Base / Bull)				
Synergy Item	Bear	Base	Bull	Rationale
Revenue Synergies – Fully Ramped (₹ Cr)	400	600	800	Cross-sell Dabur naturals thru HUL distribution; new geographies
Cost Synergies – Fully Ramped (₹ Cr)	500	700	900	Procurement (raw mat scale), headcount overlap, IT systems, facilities
Integration Costs – Year 1 (₹ Cr)	300	250	200	Restructuring, severance, systems migration; expensed in Y1
Integration Costs – Year 2 (₹ Cr)	150	120	100	Residual integration; brand harmonisation costs
Net Synergies Y3 Fully Ramped (₹ Cr)	900	1,300	1,700	Net Synergies = Rev + Cost Synergies (ramp schedule per year)

E. PURCHASE PRICE ALLOCATION (PPA) ASSUMPTIONS				
Intangible Category	Step-Up (₹ Cr)	Useful Life (Yrs)	Annual Amort (₹ Cr)	Rationale
Brand Value (Dabur, Vatika, Hajmola...)	8,000	15	533	Brand premium over book; 15yr straight-line amortisation
Customer / Distributor Relationships	3,500	10	350	Trade channel value; 6.5L outlet network; 10yr life
Technology / R&D / IP	1,500	5	300	Ayurvedic formulations, R&D pipeline; 5yr life
Deferred Tax Liability on Step-Ups	3,250			DTL = Total Intangible Step-Up x Tax Rate
Goodwill (₹ Cr)	124,462			Goodwill = Equity Value minus Book Equity minus Net Intangibles
Total Intangible Step-Ups (₹ Cr)	13,000			Total Intangibles = Brand + Customer Relationships + Technology
Tax Rate for DTL (%)	25.0%			India corporate tax rate
Goodwill Impairment Toggle (%/yr)	2.0%			Bear=2% p.a.; Base=0%; Bull=0%
Total Annual PPA Amortisation (₹ Cr, Y1-Y3)	1,183			